



“As gold prices rise, consumers may postpone purchases, but eventually they come back. Importantly, the price rise also drives up investment demand in the hope of further price increases”

KETAN KOTHARI
DIRECTOR, AUGMONT ENTERPRISES



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SAMIT GUHA
MD AND CEO, MMTC-PAMP

transparency, accountability, and consumer protection.

Guha, whose company is a member of the council, says one initiative was also to ensure that all digital gold holdings are backed by physical precious metals on a 1:1 basis and are subject to periodic third-party audits to verify compliance.

ALL ABOUT ELECTRONIC GOLD RECEIPTS

What could be a potentially game changer in this space is Electronic Gold Receipts (EGRs).

Essentially, EGRs are digital assets that represent underlying gold ownership. EGRs are exchange-traded securities; you hold them electronically, and can be traded on the exchange, thus enabling market-based price discovery. These can be converted to physical gold as per prescribed process. EGRs are a new concept in India. The BSE introduced it back in 2022, and in May 2026 the NSE began live trading in EGRs.

Sugandha Sachdeva, Founder, SS WealthStreet says there needs to be awareness about this product.

Kothari believes EGRs will be a good product for India and will change the way how India buys gold. However, there is an issue of GST (goods and services tax) that needs to be addressed if volumes pick up, he says.

Currently, trading of EGRs itself doesn't incur any GST. However, while converting converting EGR into physical gold, there is a 3% GST that one needs to pay. Kothari says the industry is awaiting a clarification on this issue from the GST Council.

THE OUTLOOK

Despite near-term uncertainties, industry executives say the long-

while older loans still benefit from valuation cushions, loans that originated during the phase of peak gold prices have lower valuation buffers,

While there may be near-term uncertainties, gold demand is likely to sustain over time, supported by a combination of global factors including geopolitical developments, evolving monetary policies, and should strengthen in the coming months as the festive and wedding season gathers momentum, according to Samit Guha, MD and CEO of MMTC-PAMP, a refiner of precious metals and a major player in the digital gold market.

Indeed, digital gold has emerged as a huge driver for gold purchases. According to the World Gold Council, digital gold purchases via

UPI remained strong in January-March, with transaction values nearly quadrupling year-on-year in January and February, with gross purchases of ₹7,000 crore, equivalent to 3.3 tonnes.

Digital gold allows one to make even small purchases and any gold bought is backed by physical gold that is stored in vaults.

However, one key issue with digital gold is that it is unregulated. In fact, in November 2025, the Securities and Exchange Board of India also warned investors about the related risks.

However, to strengthen consumer confidence, the industry has established the Digital Precious Metals Assurance Council of India (DPMACI)—a self-regulatory body focused on enhancing